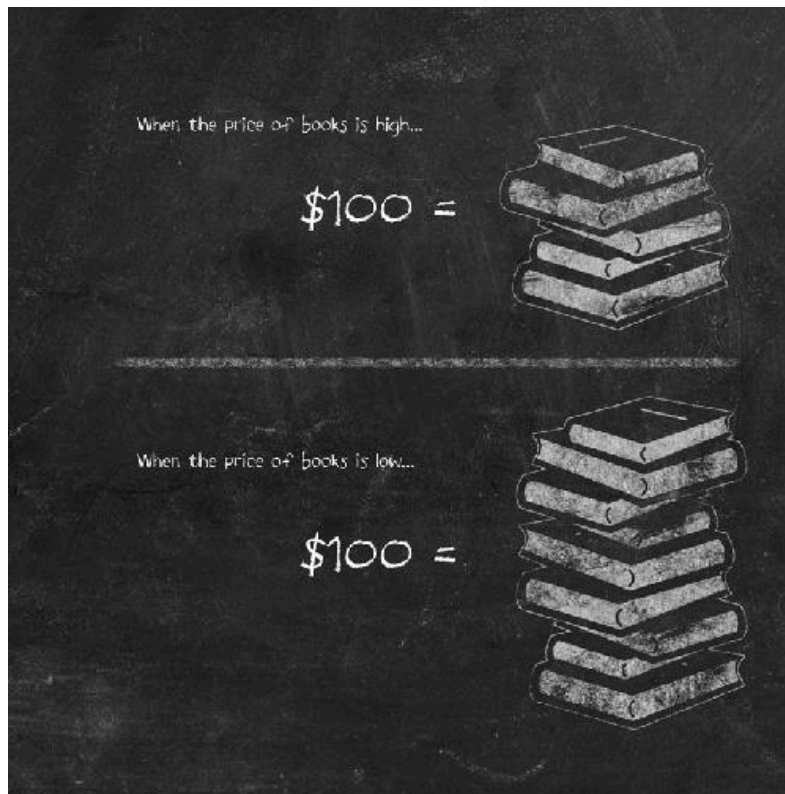


Money illusion



Unlike gold coins, modern money – in the form of cash and bank deposits – has no intrinsic value. A note is worth \$10 only because society agrees it is. What you can buy with it depends on prices. Money illusion happens when people confuse money's nominal value – a note's face value of \$10, for example – with its real value – the amount of goods and services that it can be used to buy.

Suppose a worker is paid \$100 per week: her nominal wage. If she spends all her money on books and the price of books doubles, then her real wage has halved. However, people seem to take more notice of changes to their real wages caused by changing nominal wages than those caused by changing prices: they balk more at a 10 per cent cut in nominal wages than at an equivalent rise in prices with an unchanged wage. Some economists have suggested that during times of inflation,

workers supply more labour than they otherwise would because they think their wages are higher than they really are.